

Preface

The NRRA Today

The Nonadmitted and Reinsurance Reform Act (NRRA) came into effect on July 21, 2011 as part of the Dodd-Frank Wall Street Reform and Consumer Protection Act. The purpose of the NRRA was to create a more simplified and efficient surplus lines tax payment and regulatory system by limiting regulatory authority of surplus lines transactions to the home state of the insured and by establishing federal standards for the collection of surplus lines premium taxes, insurer eligibility, and commercial purchaser exemptions.

To date, all states, except Michigan, as well as Washington D.C., have enacted legislation to implement the NRRA although both jurisdictions continue to comply with the NRRA's home state tax approach. These state laws focus on surplus lines premium taxation, which is the most challenging compliance issue for both brokers and state regulators. In addition to the tax issue, most of the states have attempted to conform their laws to the other issues addressed by the NRRA, including the exempt commercial purchaser exemption and surplus lines insurer eligibility standards. However, even if a state has not taken appropriate action, the NRRA standards still apply. Therefore, surplus lines brokers must look to both the NRRA and the laws of the home state of the insured to determine how to comply with all applicable rules under NRRA.

What follows is a summary of the key provisions of the NRRA and its impact on the current regulation of surplus lines insurance in the United States.

One-State Compliance

The NRRA grants the insured's home state with exclusive authority to regulate placement of nonadmitted insurance. The federal act states that no state, other than an insured's home state, may require a surplus lines broker to be licensed in order to sell, solicit, or negotiate nonadmitted insurance with respect to such insured. In addition, the NRRA explicitly provides for the preemption of laws, regulations, provisions, or actions of any state that applies to nonadmitted insurance sold, solicited by, or negotiated with an insured whose home state is another state. This preemption, however, does not extend to workers' compensation insurance and any law, rule or regulation that prohibits placement of workers' compensation or excess insurance for self-funded workers' compensation plans with a nonadmitted insurer.

The NRRA defines "nonadmitted insurance" as "any property and casualty insurance permitted to be placed directly or through a surplus lines broker with a nonadmitted insurer eligible to accept such insurance." Accordingly, to the extent a state allows accident and health or life insurance to be placed on a surplus lines basis (and not all of them do), the NRRA's preemption, including the "home state" rule, does not automatically apply to such lines of insurance.

Under the federal act, only the insured's home state is permitted to collect premium taxes for nonadmitted insurance. All other states are preempted from applying their surplus lines laws to such transactions. As defined in the NRRA, "home state" means: (i) the state in which an insured maintains its principal place of business or in the case of an individual, the individual's principal residence; or (ii) if 100 percent of the insured risk is located out of the state referred to in clause (i), the state to which the greatest percentage of the insured's taxable

premium for that insurance contract is allocated. The NRRA also defines the term “home state” in the context of affiliated groups to be the “home state” of the member of the group that has the largest percentage of premium attributed to it under the group insurance contract. Interestingly, the NRRA is silent on how unaffiliated groups are regulated, and states take differing views on this subject.

To facilitate the payment of premium taxes among the states, the NRRA also allows an insured’s home state to require surplus lines brokers as well as insureds who have independently procured insurance to file annual tax allocation reports with the insured’s home state detailing the portion of the nonadmitted insurance policy premium or premiums attributable to properties, risks, or exposures located in each state.

Uniform Standards for Surplus Lines Eligibility

The NRRA empowers the states to create uniform national requirements, forms and procedures for insurer eligibility for U.S. domiciled (foreign) surplus lines insurers. As the states have yet to adopt a nationwide eligibility standard, the default standards established under the NRRA are now in effect in all states. Specifically, a U.S. domiciled surplus lines insurer needs to meet two substantive requirements under the National Association of Insurance Commissioners (NAIC) Non-admitted Insurance Model Act, i.e., 1) maintain capital and surplus of at least \$15 million (or the minimum capital and surplus requirement under the law of the insured’s home state if higher); and 2) be “authorized to write in its domiciliary jurisdiction.”

With respect to alien (non-U.S.) surplus lines insurers, states may not prohibit a surplus lines broker from placing non-admitted insurance with, or procuring nonadmitted insurance from, a non-U.S., nonadmitted insurer that is listed on the Quarterly Listing of Alien Insurers maintained by the NAIC’s International Insurer’s Department (IID List).

While most states have now amended their surplus lines laws to incorporate the NRRA requirements, a number of state regulators are continuing to request financial and/or premium information as well as a fee in order to include that company on their state’s eligibility list. While these lists are arguably “voluntary” (and some states like California expressly acknowledge the voluntary nature of their white lists), many surplus lines carriers have opted to participate as they believe their absence from an eligibility list places them at a commercial disadvantage in the market. Moreover, some states continue to expect that surplus lines insurers will maintain listing on their eligibility lists and/or “federally authorized” lists and, at times, have refused to accept surplus lines premium tax remittance from surplus lines brokers placing insurance coverage through insurance carriers that are not listed. Some of these states take the position that they may “confirm eligibility” with the NRRA by requiring admission onto their white lists. We expect the states requiring these additional submissions will diminish in time as they begin to rely more on the financial information that is now available for reference and download from the NAIC website.

Exempt Commercial Purchasers (ECPs)

The NRRA preempts any state laws or regulations requiring a surplus lines broker seeking to procure or place nonadmitted insurance for certain sophisticated commercial purchasers¹ to satisfy diligent search requirements if the broker: (1) has disclosed to the purchaser that such insurance may be available from the admitted market which may provide greater protection with more regulatory oversight; and (2) the purchaser has subsequently requested in writing the broker to procure from or place such insurance with a nonadmitted insurer. States that have export lists will likely treat ECPs as an additional category of the export list. These transactions will still have to be reported in the home state of the insured as only the diligent effort requirement is waived.

States’ Participation in National Producer Database

The NRRA encourages states to participate in the national insurance producer database of the NAIC, or any other equivalent uniform national database, for the licensure of surplus lines brokers and the renewal of such

licenses. Any state that did not participate in such system by July 21, 2012 is prohibited from collecting any fees relating to licensing of an individual or entity as a surplus lines broker in the applicable state.

Calculation of Surplus Lines Taxes Under the NRRA

Virtually all the states' surplus lines codes have been amended to incorporate many of the terms of the NRRA. While the NRRA recognized that the states may enter tax-sharing arrangements for surplus lines premium tax, the states have not agreed on a consistent tax-sharing arrangement or clearinghouse model. As a practical matter, tax-sharing for surplus lines would only impact a small number of transactions since it applies only to risks having multi-state exposures which comprise approximately 5% of all surplus lines transactions.

The two principal tax compact models were the Non-admitted Insurance Multi-State Agreement (NIMA), and the Surplus Lines Insurance Multi-State Compliance Compact (SLIMPACT). On May 2, 2016, the NIMA was dissolved after its two largest members, Florida and Louisiana, withdrew from the tax-sharing system. The dissolution was effective October 1, 2016, and included a 12 month run-off period that ended September 30, 2017 to allow endorsements on policies effective prior to October 1, 2016 to be filed through the Surplus Lines Clearinghouse (SLC). Similarly, SLIMPACT never went into effect as an insufficient number of states enacted the legislation.

Since there was no national tax-sharing arrangement adopted, surplus lines premium taxes are calculated based on the insured's home state's tax rate and retained 100% by the home state, regardless of where the risks are located. With respect to affiliated group insurance policies, the NRRA indicates that the home state for the group and for taxation purposes is the home state of the member of the affiliated group that has the largest percentage of premium attributed to it under such insurance contract. However, as indicated above, the NRRA does not address unaffiliated groups, and states remain split as to whether surplus lines premium tax may be remitted to the home state of the master policyholder or, alternatively, must be apportioned to the home states of each member of the group.

¹ Under the NRRA, an exempt commercial purchaser is any person purchasing commercial insurance that, at the time of placement, meets the following requirements: (A) The person employs or retains a qualified risk manager (as defined in the NRRA) to negotiate insurance coverage; (B) The person has paid aggregate nationwide commercial property and casualty insurance premiums in excess of \$100,000 in the immediately preceding 12 months; and (C) The person meets at least one of the five following criteria: (I) the person possesses a net worth in excess of \$29,179,483, (II) the person generates annual revenues in excess of \$72,948,708, (III) the person employs more than 500 full-time or full-time equivalent employees per individual insured or is a member of an affiliated group employing more than 1,000 employees in the aggregate, (IV) the person is a not-for-profit organization or public entity generating annual budgeted expenditures of at least \$43,769,225 or (V) the person is a municipality with a population in excess of 50,000 persons. Currently, 20 U.S. jurisdictions exempt nonadmitted insurers from surplus lines regulation insurance procured by "industrial insureds" and an additional 12 states recognize an "industrial insured" exemption with respect to captive insurers or workers' compensation insurance only. A complete list of these states and the relevant exemptions can be found in Appendix C.

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